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MGT101 Quiz 1 Solved

File 1

Question No 1

In case of Income and Expenditure account, excess of income over expenses in a specified accounting period is called.

Profit

Loss

Surplus

Deficit

Profit is the excess of income over expenses in a specific period

Question No 2

Franchise rights, goodwill and patents are the examples of:

Liquid assets

Tangible assets

Intangible assets

Current assets

Examples of both are as follows:

Intangible Assets – Patents, Copyrights, Goodwill etc.

Question No 3

Which of the following is Not a part of General Ledger?

Activity Book

Sales Book

Purchase Return Book

Purchase Book

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Question No 4

All of the following are recognized as Capital Expenses EXPECT:

Purchase of Land

Acquiring Office Building (Page 9)

Acquiring Furniture

Disbursement of Fuel Bills

Question No 5

If debit side of a ledger is greater than credit side, the balance will be called as:

Debit Balance

Credit Balance

Excess Balance

None of the above

If the debit side is greater than the credit side the difference is called "Debit Balance".

Question No 6

If credit side of a ledger is greater than debit side, the balance will be called as:

Debit Balance

Credit Balance

Excess Balance

None of the Above

When the credit side is greater that the debit side the difference is called "Credit Balance".

Question No 7

Net Profit = income –_____.

Liabilities

Assets

Expenses (Page 8)

Capital

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Question No 8

The inventory account will fall under which of the following classification of account:

Assets

Expenses

Revenues

Expenses

Inventory is reported as a current asset on the company's balance sheet.

Question No 9

If cost of sales is Rs. 90,000, income from sales in Rs. 200,000 and operating expenses are Rs 100,000. What will be the net result?

Rs 10,000 Loss

Rs 10,000 Profit

Rs 110,000 Profit

Rs 110,000 Loss

Question No 10

Return, expenses and net profit are found on a/an:

Income Statement

Statement of Cash Flows

Statement of Owner's Equity

Balance Sheet

The income statement in one of three statement used in both corporate finance and accounting. The Statement displays the company's revenue, cost, gross profit selling and administrative expenses.

File 2

Question No 1

Which of the following is Not an Asset Account?

Plant & Machinery
Load to XYZ co.
Cash at Bank

Loan from ABC co.

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Question No 2

Net Profit = income –_____.

Liabilities

Assets

Expenses (Page 8)

Capital

Question No 3

The journal entry to record purchase of furniture on credit would include a:

Credit to furniture A/c

Credit to Cash A/c

Credit to Payables A/c

Credit to Receivables A/c

Question No 4

For every debit there must be a credit with an equal amount. This is also called as:

Separate Entity Concept

Single Entry Book-Keeping

Matching Concept

Dual Aspect Concept

Question No 5

Commercial Accounting is done through a system that is known as:

Single entry system

Credit system

Double entry system (Page 5)

Cash system

Question No 6

Which of the following is/are the example of Intangible Asset?
Copy Rights
Good Will
Patent right
All of the given option (Page 11)

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Question No 7

Which of the following cannot be classified as Revenue Income?

Goods Sold For cash

Goods sold on credit

Income from the sale of services

Income from the sale of fixed assets

Question No 8

All of the following are recognized as Capital Expenses EXPECT.

Purchase of Land

Acquiring Office Building (Page 8)

Acquiring Furniture

Disbursement of Fuel Bills

Question No 9

What does single entry accounting mean?

It means to record debit only

It means to record one side of entry

It means to record cash only (Page 5)

It means to record only

Question No 10

In case of Income and Expenditure account, excess of income over expenses in a specific accounting period is called.

Profit

Loss

Surplus

Deficit

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File 3

Question No 1

Generally Accepted Accounting Principles (GAAP) are necessary because financial statements:

Are publicly available

Should be standardized

Should be understandable

All of the above

Question No 2

Which of the following is Not a part of General Ledger?

Activity Book

Sales Book

Purchase Return Book

Purchase Book

Question No 3

The fees earned account will fall under which of the following classification of account:

Assets

Liabilities

Revenues

Expenses

Question No 4

_____not a characteristic of joint stock company.

Limited Liability

Transfer of Share

Distinct Legal Entity

Easy Formation

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Question No 5

Normal Single Entry Book is followed by_____.

\Whole Company

Large Company

Small Business

Cash system

Question No 6

Budget is another name of_____.

Financial Accounting

Assets

Expenses

Financial Forecast

Question No 7

Commercial accounting is done through a system known as:

Single Entry System

Balance Sheet

Asset Account

Double Entry System (Page 5)

Question No 8

Fiscal year of Govt of Pakistan is_____.

1st October to 30 September

1st September to 30 August

1st August to 30 July

1st July to 30 June

Question No 9

Normal Balance of revenue account is Similar to:
Expense
Asset
Liability
None of the above

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Question No 10

At the end of the accounting period a list of all ledger balance is prepared called_____.

Trial Balance (Page 23)

Balance Sheet

Profit and Loss Account

None of the above

File 4

Question No 1

All vouchers are recorder in_____.

General Ledger

Balance Sheet

Trial Balance

General Journal (Page 17)

Question No 2

A wrong entry on the debit side of cash book would lead to_____.

Cash book showing More balance

Cash book showing Less Balance

No change in the Cash Book

None of the above

Question No 3

_____is the first book record a transaction.

General Journal

General Ledger

Trial Balance (Page 17)

Balance Sheet

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Question No 4

Normal Balance of Capital account is Similar to_____.

Liability Account

Asset Account

Expense Account

Revenue Account

Question No 5

_____are recorder in cash book.

Only Payment

Only Receipts

Receipts & Payment

None of the above

Question No 6

As per flow of transaction which come next to Profit & loss account

Balance Sheet

Financial statement(Page 21)

Vouchers

Financial Forecast

Question No 7

Non-commercial organizations are also known as:

Self Organization

Stock Company

Profit Organization

Non Profit Organization

Question No 8

Inventory account will fall under classification of:
Expense Account
Liability Account
Asset Account
None of the Above

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Question No 9

Account generated form sales in Business Called:

Income

Expense

Balance

Asset

Question No 10

All of the following are components of financial statements EXPECT:

Statement of profit or Loss and Other Comprehensive Income

Trial Balance

Statement of Cash Flows

Statement of Changes in equity (Page 25)

File 5

Question No 1

A wrong entry on the debit side of cash book would lead to_____.

Cash book showing More balance

Cash book showing Less Balance

No change in the Cash Book

None of the above

Question No 2

Which of the following are recorded in sales journal?

Cash sales transactions

Credit sales transactions

Credit sales return transactions

Both credit and cash sales transactions

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Question No 3

If credit side of a ledger is greater than debit side, the balance will be called as:

Debit Balance

Credit Balance

Excess Balance

None of the above

Question No 4

Which of the following should be debited in bank statement?

Amount deposited in bank

Interest on deposit

Amount withdrawn from bank

Dividend received on behalf of customer

Question No 5

"5/10, n/3-" is an example of

Bulk purchases discount

Regular customer discount

Season end discount

Settlement discount

Question No 6

The process of picking up an amount from journal and placing into the debit or credit side of relevant ledger is known as:

Journalizing

Posting

Balancing

Crediting

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Question No 7

Which of the following is used to check the arithmetic accuracy of bookkeeping?

Chat of account

Trial Balance(Page 21)

Profit & loss account

Balance sheet

Question No 8

All of the following are examples of current assets EXPECT:

Bank overdraft

Cash at bank

Cash at hand

Account receivables

Question No 10

Which of the following is/are prepared for a specific period?

Statement of Profit & loss

Statement of Financial Position

All financial statements

None of the given options

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